Review Comments

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Before we start...

The Political Economy of Shitcoins (and Other Varieties)*

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FIRST VERSION: MAY 4, 2025
THIS VERSION: JANUARY 2, 2026

Figure 4: A Typology of Demand for Cryptocurrency

		Store of Value	
		No	**Yes**
Medium of exchange	No	(I) Shitcoins	(III) Digital gold
	Yes	(II) Alternative vehicle for financial services	(IV) Replacement for sovereign fiat currencies

- Relevant theoretical framework
- primarily about cryptocurrency, but still related to other digital assets

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Wang – "Informational Power & CBDC Adoption"

- argument: CBDC adoption is driven by informational power.
- strengths
  - Clear and convincing central claim: CBDCs are about control over monetary information flows
  - Strong case that market-based CBDC adoption is driven by market power rather than
- to be worked on
  - Possibly sequential: it leaves the outcome of the competition between governments as the only factor explaining adoption. It is not clear
  - The question is exactly as serious as it is because it is not clear what the alternative (other than a CBDC) would look like. If the alternative is a private digital currency, the question becomes more interesting. Sanctions have been a major driver of CBDC adoption

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  - Nothing sensational in the empirical section (*not always good*), but the design makes a general sense.
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  - Conceptually sequential: the issues in the paper are all interconnected, but *covering* as the easiest answer to resource constraints.
  - Whose system is used? Is it a public good, a private platform, or a hybrid? Other is not zero, and could be a lot more, so it matters.
  - Intermediary benefits are essential to problem formulation.

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  - Conceptually, sequentially, it makes sense that the purpose and the potential for governance is the first, and then comes the adoption. Other is not, and should be, the case. To be convincing, somehow, you need to show that the adoption is driven by informational power, not just by the potential.

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  - consistency/sequenciality issues in the outcome variable—particularly concerning in the event history design (including Cox PH model)
  - Nice to have more details on the data, particularly the variable Other. It is not clear what it is, and it is not clear why it is so important for the analysis. Also, it is not clear why some non-zero values are negative.

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    - announcements (*less costly signals*)
    - [illegible]
  - if the mechanism actually is sanctions exposure → cheap talk of de-dollarization (which is not wrong; McDowell 2023), the paper needs to be framed that way, apart from institutional/policy change
  - endogeneity: sanction targets aren't random (confounder).

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Srivastava – "Monetary Sovereignty"

- Argument: CBDC tech alleviates sovereignty concerns of CBs.
- strength
  - Very informative – I learned a lot.
  - Suggestion: Offer a very succinct summary of the paper's argument.
  - The paper argues that sovereignty concerns have been a central, well grounded in the literature.
- to be worked on
  - Dynamics: Is an empirical research paper, so it is unclear how to provide the dynamics.
  - The paper's claim is too strong. It argues that CBDC tech alleviates sovereignty concerns, but it does not address the underlying issues.

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  - 'Sovereignty' over 'efficiency' is a compelling narrative.
  - Three dimensions of sovereignty (geopolitical, infrastructural, monetary perimeter): well grounded in the literature
- to be worked on
  - Dan Hu's Chinese research paper on DCEP, interpretation of Chinese [illegible]
  - The 2020 Bank of Canada [illegible] Project Jasper [illegible] Project Jasper's [illegible]

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  - Dan Ha's other research paper at ISA26 (Mirror Reserve vs. Stablecoin) is very similar.
  - The paper's claim is too ambitious. Instead, it should focus on the specific case of Brazil.
  - Is Hyperledger a new entity?

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  - Hard to fit the research paper style. It's more like a review, or perhaps a book chapter.
  - The 2020 Bank of Canada paper is not a research paper, but a review of the literature. It's more like a review.

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    - If 1), the current argument needs to be reframed as something falsifiable: What would a non-sovereignty-driven CBDC look like?
    - If 2), the argument needs to be reframed as a conceptual note (e.g. sovereignty as a lens)
  - The paper is perhaps too 'modular': better connection between (sub)sections necessary

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Chraibi & Leblang – Cryptocurrency Choice

- Argument: democratic accountability shapes how individuals adopt crypto currencies.
- Strength
  - Disaggregation into instrument and channel choices
  - A convincing story (Chapter 3) that ties multiple strands
- To be worked on
  - What kind of crypto? Other than Bitcoin, is it appropriate to use [Sea probably indicated that it is appropriate to use]
  - Why, post-hoc rationalization, or ex ante hypothesis?
  - Coverage: Use of Kraken, Coinbase, Binance, Bitfinex, Bitstamp, Bitcoin Foundation, Bitcoin Core, Ethereum, Ripple, Tether, Cardano, Polkadot, Solana, Dogecoin, Litecoin, Stellar, Chainlink, Polygon, Cosmos, Tezos, Algorand, Filecoin, Monero, Zcash, Dash, Decred, Bitcoin Cash, Bitcoin SV, Ethereum Classic, Zcash
  - Sample selection: Twitter, Reddit, Bitcoin Forum, Bitcoin Talk, Bitcoin Core, Bitcoin Foundation, Bitcoin Cash, Bitcoin SV, Ethereum Classic, Zcash, Dash, Decred, Monero, Zcash, Dogecoin, Litecoin, Stellar, Chainlink, Polygon, Cosmos, Tezos, Algorand, Filecoin, Monero, Zcash, Dash, Decred, Bitcoin Cash, Bitcoin SV, Ethereum Classic, Zcash

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  - Well, then the counterfactual who shows up as adopters? (Are probably individuals in countries with more capital controls)
  - So, why not simply adopt a US dollar stablecoin? (Variable USD exposure, lack of trust in the US, and the US's ability to freeze accounts)
  - Why do people use crypto? (Illicit finance, remittances, speculation, and access to dollar-denominated assets in weak currencies)

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  - Why do we see accountability shapes choices across the two dimensions (instrument and channel)?
  - Why do we see no effect of accountability on the choice of crypto currency?
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  - Weak identification individual behaviors vs. aggregate observations (tho probably individual-level data impossible to obtain)
  - Why not other channels? Why not other instruments? Why not other factors? Why not other countries?
  - Variable: Use of the crypto currency, Trading, Investment, Mining, Transaction, Remittance, Illicit use, Other
  - Other factors: Legal, Tax, Financial, Technical, Illicit, Other
  - Suggestion: Many more variables, but the data is not available. Why not factors in other countries?

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  - (vertical) Democratic accountability is probably over-leveraged? What about horizontal acct. (e.g., court independence; legislative power)?
  - suppression effect: many covariates are consequences of the treatment– show results without covariates.

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